has also suffered as DISCOMs generate enormous losses (in excess of Rs 1.5 lakh crore a year before subsidies provided by states and not counting interest liabilities taken over under Ujwal DISCOM Assurance Yojana [UDAY] and other schemes)—and Indian industry struggles to be competitive as it is chained by such high electricity costs.

Every unit of electricity does the same work, whether used in industry, agriculture or homes. Pricing it differently based on the user is a cardinal error. The electricity tariff policy of the Government of India, which is supposedly binding on the State Electricity Commissions that set the tariffs, recognizes this policy principle. For many years, this policy mandates tariffs to be set for customers not exceeding 20 per cent of the average cost of supply. This policy directive has, however, been mostly honoured in the breach.

Setting tariffs has also been made unduly complex. In some states, there are over sixty kinds of electricity consumers. A unit of electricity does the same work but it has over sixty different prices. Reading the tariff schedule of any DISCOM reveals how chaotic and complex the system is, resulting in unnecessary disputes and unhappiness all around.

States also try to achieve their social goals through pricing power differently. Agriculture tariffs and residential tariffs are set at lower rates; industrial and commercial tariffs at higher rates. Then, state subsidies come into play, which are also delivered through tariffs. Effective tariffs are reduced factoring in these subsidies, making the tariff structure even more complex.

## *Railway Reforms Urgently Needed*

Low railways fares do not guarantee passenger traffic when alternatives are emerging. This is evident considering the massive loss of traffic by Indian Railways consistently over the past seventy years. Good quality and timely service are needed by passengers and they don’t mind paying for it. Quality